

Technological Capability, Digital Adoption, and the Internationalization–Performance Relationship: A Firm-Level Study of Singapore

Abstract

This study examines how technological capability and digital adoption are associated with the internationalization–performance relationship among firms in Singapore, treated as an analytically informative, within-context setting of a digitally advanced economy. Using World Bank Enterprise Survey microdata for Singapore 2023, the analysis distinguishes a Technological Capability Index (TCI), capturing firm-internal capability depth, from a Digital Adoption Index (DAI), capturing foundational digital interfaces and transaction-enabling mechanisms.

Three findings emerge. First, within the observed export-intensity range, the internationalization–performance relationship is better characterized as predominantly positive with mild quadratic curvature than as a formally identified inverted-U. The fitted quadratic implies a turning point in the upper tail, but that point is imprecisely located and falls in a sparsely populated region of the data. Second, TCI is positively associated with labour productivity, while no statistically distinguishable moderation by TCI is detected under the present design. Third, DAI does not exhibit a large uniform productivity premium across firms; instead, its association with productivity becomes more positive at higher levels of export intensity, with the clearest signal concentrated in the high-export tail. Taken together, the findings provide within-context evidence from Singapore that sharpens the distinction between technological capability and foundational digital adoption and suggests that digital adoption may function more as a contingent scaling resource than as a uniform productivity advantage.

Keywords: internationalization–performance relationship; digital adoption; technological capability; boundary conditions; Singapore

1 Introduction

1.1 Background and motivation

Singapore is an analytically valuable setting for revisiting the internationalization–performance relationship because it combines high digital maturity with firm-level heterogeneity in export intensity. The classic I–P literature explains nonlinearity through a trade-off between the scale and learning benefits of international expansion and the

rising coordination costs of operating across markets, with the inverted-U emerging as the modal empirical pattern in the broader literature (Marano et al. 2016). However, much of this literature was developed in pre-digital or transitional-digital settings, where institutional and infrastructural conditions differ substantially from those of digitally mature economies (Peng 2003; Peng et al. 2008) and may not fully capture how the I–P curve behaves when firms operate in a digitally mature institutional environment.

In such contexts, the relevant question is not simply whether firms still exhibit the conventional inverted-U, but whether digital maturity changes the export range over which the right-side decline becomes empirically visible. If mature digital infrastructure attenuates communication, transaction, and information frictions, then the coordination-cost mechanism underlying the classic inverted-U may be weakened, delayed, or pushed toward sparsely populated levels of export intensity. This possibility is especially important in environments where firms engage with digital interfaces and transaction systems at scale, because such technologies can alter both the cost and speed of cross-border coordination (Bharadwaj et al. 2013; Verhoef et al. 2021).

A second motivation concerns construct clarity. In digitally mature settings, firms may differ not only in deeper technological capability rooted in learning, innovation, and absorptive capacity, but also in the extent to which they adopt basic digital interfaces and transaction-enabling systems. These two domains should not be collapsed into a single umbrella construct, because technological capability reflects firm-internal capability depth grounded in resource-based and absorptive-capacity logic (Barney 1991; Cohen & Levinthal 1990; Lall 1992), whereas digital adoption reflects participation in digitally enabled transactions and interfaces that may be more contingent on the surrounding digital ecosystem (Bharadwaj et al. 2013; Verhoef et al. 2021).

1.2 Research gap

Three gaps motivate this study. First, prior research has often bundled digitalization-related firm attributes into broad umbrella constructs, making it difficult to distinguish firm-internal technological capability from more basic forms of digital adoption. This matters because the two domains imply different mechanisms of advantage: technological capability concerns learning, innovation, and absorptive depth within the firm, whereas foundational digital adoption concerns the use of digital interfaces and transaction-enabling systems that may matter differently across stages of internationalization.

Second, although work on digital internationalization has generated important conceptual advances, firm-level evidence remains limited on how basic digital adoption relates to export intensity within a single digitally

advanced institutional environment. In particular, the literature still offers limited evidence on whether foundational digital tools matter uniformly across firms or become more relevant only when cross-border coordination demands intensify.

Third, the nonlinear internationalization–performance literature has documented inverted-U patterns extensively, but the interpretation of such patterns in a digitally advanced setting remains under-specified. In a case such as Singapore, the unresolved issue is not whether one setting can establish a general boundary condition for all digitally mature economies, but how firm-level evidence from that setting should be interpreted relative to the conventional nonlinear literature. This study addresses that issue by examining whether the right-side decline of the curve is clearly identifiable within the export-intensity range actually occupied by firms in Singapore and by separating technological capability from foundational digital adoption in the same empirical framework.

1.3 Contribution

This study makes one primary contribution and two supporting contributions. Its primary contribution is to provide firm-level, within-context evidence from Singapore showing that the classic right-side decline of the internationalization–performance curve is not clearly identified within the export-intensity range occupied by most firms in the sample. In this sense, the study qualifies rather than overturns the conventional nonlinear literature by showing that, in this setting, the fitted quadratic is more defensibly read as predominantly positive with mild curvature than as a formally established inverted-U.

The first supporting contribution is construct clarification. The analysis distinguishes technological capability from foundational digital adoption, thereby separating firm-internal capability depth rooted in learning, innovation, and technology absorption from more basic digitally enabled interfaces and transaction mechanisms. This distinction matters because the two constructs are associated with firm performance in different ways and should not be treated as interchangeable indicators of a single digital-capability domain.

The second supporting contribution is substantive. The findings indicate that foundational digital adoption is better understood as a conditional scaling resource than as a uniform productivity premium: its association with productivity is weak across much of the export-intensity distribution and becomes more positive only in the high-export tail. This does not establish a universal mechanism applying across all digitally advanced economies, but it does provide within-context evidence that the productivity relevance of foundational digital adoption depends on the intensity of cross-border operations.

1.4 Roadmap

Section 2 develops the theoretical framework and four hypotheses. Section 3 describes data and methods. Section 4 reports results. Section 5 discusses theoretical and managerial implications. Section 6 concludes. Section 7 acknowledges limitations and future research directions.

2 Theory and Hypotheses

2.1 The internationalization–performance relationship

The I–P literature has produced extensive evidence of nonlinear relationships between the degree of internationalization and firm performance. Hitt et al. (1997) introduced the inverted-U logic: initial internationalization yields scale and learning benefits, but at high export intensities firms encounter cognitive and coordination ceilings that erode the returns to further expansion. Contractor et al. (2003) extended this logic to a three-stage S-curve, and Lu and Beamish (2004) refined the inverted-U with attention to firm size and age effects. The modal pattern across this literature is an inverted-U with a turning point in the 30%–60% foreign-sales-to-total-sales (FSTS) range (Marano et al. 2016).

An important implication of the nonlinear I–P literature is that the visibility of an inverted-U depends not only on theory but also on where firms actually lie in the observed distribution of internationalization intensity. If firms operate in a setting where digital infrastructure and transaction systems reduce some coordination frictions, the right-side decline may become harder to detect within the export range most firms occupy, even if coordination costs do not disappear in principle. Singapore is therefore analytically useful not because it can by itself establish a general boundary condition for digitally mature economies, but because it provides a within-context case for examining how the conventional I–P logic appears when firms operate in a digitally advanced institutional environment.

2.2 Two distinct constructs: TCI and DAI

A recurring problem in the digital international business literature is the tendency to collapse technologically heterogeneous firm attributes into a single umbrella construct, thereby blurring the distinction between internal capability depth and digitally enabled market participation (Verhoef et al. 2021). This study departs from that practice by distinguishing a Technological Capability Index (TCI), anchored in the Lall–Cohen-Levinthal capability tradition (Cohen & Levinthal 1990; Lall 1992), from a Digital Adoption Index (DAI), anchored in the Bharadwaj–Verhoef digitalization tradition (Bharadwaj et al. 2013; Verhoef et al. 2021).

The distinction is theoretically necessary because the two constructs refer to different domains of firm advantage. TCI captures internal capability stocks related to innovation, learning, and technology absorption, drawing on the absorptive-capacity logic of Cohen and Levinthal (1990) and the technological-capability tradition of Lall (1992). DAI, by contrast, captures the firm's uptake of digital interfaces and transaction-enabling mechanisms (Bharadwaj et al. 2013), reflecting a more environmentally contingent form of firm advantage that depends on the maturity of the surrounding digital ecosystem (Verhoef et al. 2021).

Equally important, the label "digital adoption" is more defensible than "digital capability" in the present empirical setting because the WBES indicators available here map primarily onto basic digital presence and digital transaction usage rather than deeper digitally integrated organizational processes. In the Verhoef et al. (2021) hierarchy, website presence (c22b) corresponds most closely to Tier 1 digitization, while electronic-payment intensity on the customer and supplier sides (k33, k38) corresponds to Tier 2 digitalization. Our DAI composite therefore captures the foundational digital layer upon which higher-order digital capabilities may be built, but it cannot directly observe Tier 3 process integration (e.g., ERP, CRM, digitally integrated supply chains) or Tier 4 digital dynamic capability (e.g., AI deployment, platform orchestration, reconfiguration capability). Given this measurement boundary, retaining a broad "digital capability" label would overstate what the underlying indicators can legitimately support, whereas the DAI label improves construct validity by aligning the variable name with the actual content domain of the observed measures. Methodologically, the two constructs satisfy the Coltman et al. (2008) four-criterion test for formative (as opposed to reflective) measurement. Separately, combining TCI and DAI into a single composite would violate the principle that constructs with different hypothesised nomological nets should remain analytically distinct.

2.3 Hypothesis development

2.3.1 TCI direct effect on productivity

Following the Lall (1992) capability tradition and the Cohen and Levinthal (1990) absorptive-capacity logic, firms with deeper technological capability should produce more output per unit of labour input regardless of internationalization stage. Technological capability reflects firm-internal investments in R&D, innovation, foreign technology licensing, and quality certification — all of which raise the productivity floor by enhancing operational efficiency, product quality, and learning routines (Avenyo et al. 2021; Krammer et al. 2018). We therefore hypothesize:

Hypothesis 1 (H1). *Technological capability (TCI) is positively associated with firm performance in Singapore.*

2.3.2 TCI moderation of the I–P relationship

A subtler prediction concerns whether technological capability alters the shape of the internationalization–performance relationship rather than simply raising average productivity. From a non-location-bound firm-specific advantage perspective, technological capability may travel across markets without requiring the same degree of adaptation as context-dependent coordination tools. This suggests that its most stable empirical role may lie in its direct association with productivity, while any moderation of the FSTS–performance relationship is less certain and should be treated as an empirical question rather than presumed *ex ante*.

Hypothesis 2 (H2). **Technological capability (TCI) is positively associated with labour productivity in Singapore, while its moderation of the internationalization–performance relationship is treated as an open empirical question.**

2.3.3 DAI direct effect on productivity

Digital adoption may improve firm performance through faster information flows, lower transaction frictions, and more efficient digital exchange, but such benefits are unlikely to be uniform across firms. In the present empirical setting, the available indicators capture foundational digital interfaces and transaction-enabling mechanisms rather than deeper digitally integrated organizational capabilities. Their productivity relevance is therefore not expected to appear as a large, unconditional firm-wide premium, but as an association whose strength may depend on the scale at which firms actually use those digital channels.

Hypothesis 3 (H3). **The productivity association of digital adoption (DAI) in Singapore is conditional rather than uniform across firms.**

2.3.4 DAI as a conditional complement to export intensity

The most specific prediction concerns whether foundational digital adoption becomes more relevant when firms face denser cross-border coordination demands. Firms with higher export intensity process more transactions across customers, suppliers, and markets, making digital interfaces and electronic transaction systems potentially more

valuable as scaling mechanisms. By contrast, firms with low export intensity may have fewer opportunities to translate basic digital adoption into measurable labour-productivity gains.

Hypothesis 4 (H4). The association between digital adoption (DAI) and firm performance becomes more positive at higher levels of export intensity in Singapore.

2.4 Conceptual model

Figure 1 summarizes the conceptual model. The model treats TCI and DAI as analytically distinct firm-level constructs that are associated with firm performance through different channels. TCI is expected to show a more stable direct association with labour productivity than a clearly identified moderation pattern, reflecting its role as firm-internal capability depth grounded in learning, innovation, and technology absorption. DAI, by contrast, is theorized to matter contingently through export intensity rather than as a uniform direct premium, because the observed indicators capture foundational digital interfaces and transaction-enabling mechanisms whose relevance depends on how intensively firms engage in cross-border operations. In this sense, H3 and H4 are jointly informative: H3 concerns the non-uniformity of the DAI–productivity association, whereas H4 specifies the direction of that contingency across export intensity. The model is therefore positioned as a within-context framework for interpreting firm-level evidence from Singapore rather than as a design that can, on its own, establish a general boundary condition for digitally mature economies.

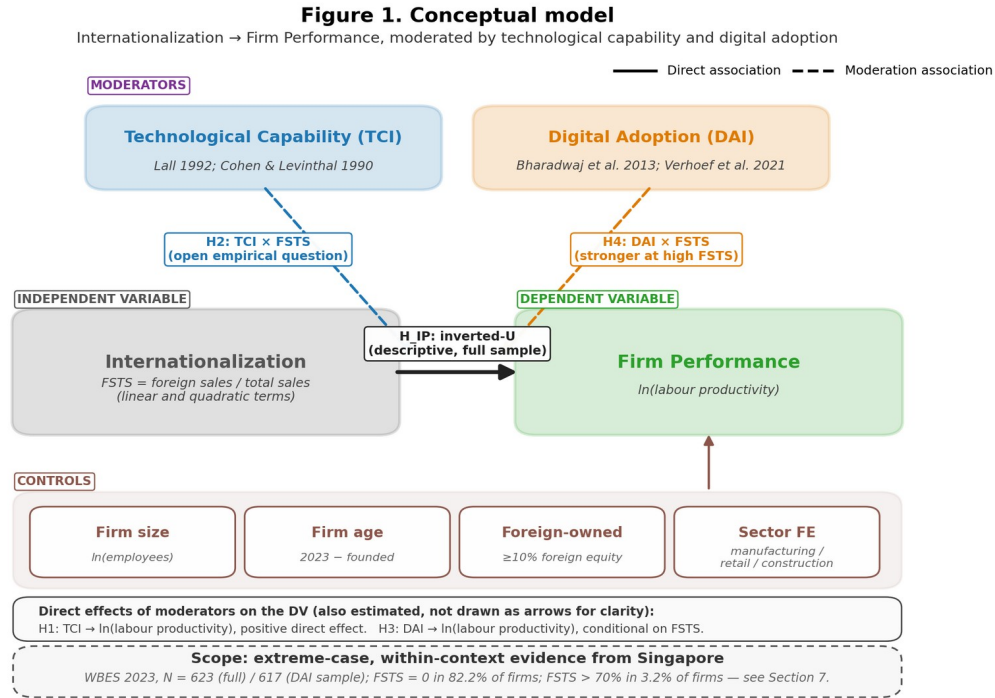


Figure 1. Conceptual model. Internationalization ($FSTS$, $FSTS^2$) is the independent variable; firm performance, measured as $\ln(\text{labour productivity})$, is the dependent variable. Technological capability (TCI) and digital adoption (DAI) are moderators acting on the internationalization–performance path (H2 and H4). The diagram also lists the direct effects of TCI and DAI on the dependent variable (H1 and H3), which are estimated in the empirical model but not drawn as crossing arrows for visual clarity. Firm size, age, foreign ownership, and broad-sector fixed effects enter as controls. Solid arrows denote direct associations; dashed arrows denote moderation associations. The setting is Singapore as a within-context, analytically informative case of a digitally advanced economy (WBES 2023, N = 623 / 617).

3 Methods

3.1 Data

We use the World Bank Enterprise Survey (WBES) Singapore 2023 wave, the most recent firm-level microdata available for Singapore. The 2023 wave was administered under the B-READY methodology, which expanded the digital-adoption module to include items on electronic-payment penetration. After listwise deletion on focal variables, the analytic sample comprises 623 firms across major sectors of the Singapore economy. Manufacturing accounts for approximately 31% of the sample, retail and other services for 50%, and other sectors for 19%. The sample is predominantly domestic in orientation: 18% of firms report non-zero exports, and only 3% exceed 50% foreign sales to total sales (FSTS). Descriptive statistics and pairwise correlations are reported in Table 1.

3.2 Variables

3.2.1 Dependent variable

Firm performance is operationalized as labour productivity, measured as the natural logarithm of annual sales divided by the number of full-time employees. This measure is constructed from WBES annual sales and employment items and follows the productivity-as-performance approach used in prior firm-level international business research. Because all firms belong to the same 2023 cross-section, sales are expressed in nominal 2023 Singapore dollars, with any common price-level effect absorbed by the intercept. To reduce sensitivity to outliers, the dependent variable is winsorized at the 1st and 99th percentiles.

3.2.2 Focal independent variable

The focal internationalization variable is FSTS, defined as the proportion of annual sales derived from direct exports and rescaled to the [0,1] interval. FSTS is mean-centered before squaring in order to mitigate multicollinearity between the linear and quadratic terms (Aiken & West 1991). In the final specifications, variance inflation factors remain below 3, indicating that multicollinearity is not a material concern (O'Brien 2007).

3.2.3 TCI and DAI composites

Technological capability and digital adoption are modeled as two distinct formative composites rather than reflective scales because their indicators jointly constitute the constructs and are not interchangeable manifestations of a single latent trait. The Technological Capability Index (TCI) captures firm-internal capability depth through external technology linkage, product innovation, R&D effort, and quality certification. The Digital Adoption Index (DAI) captures firms' uptake of foundational digital interfaces and transaction-enabling mechanisms through website or digital presence, customer-side electronic payment intensity, and supplier-side electronic payment intensity. Consistent with the measurement boundary emphasized in the manuscript, DAI should be interpreted as a Tier 1–2 digital-adoption construct rather than as a broader measure of digitally integrated organizational capability. Following the formative-measurement logic adopted in the study, component indicators are standardized, aggregated using equal weights, and then re-standardized so that coefficients are interpretable in standard-deviation units.

3.2.4 Controls

The models include firm size, firm age, foreign ownership, and broad sector fixed effects as controls. Firm size is measured as the natural logarithm of the number of full-time employees, firm age is calculated from year of establishment, and foreign ownership is coded

as an indicator for at least 10% foreign equity. Broad sector indicators distinguish manufacturing, retail, and other services and absorb sector-level heterogeneity in productivity, export propensity, and technology-adoption norms. Manager experience, originally motivated by the upper-echelons framework (Hambrick & Mason 1984) and initially considered as a control, was dropped after variance-inflation diagnostics indicated problematic collinearity with firm size.

3.3 Estimation strategy and identification scope

The empirical analysis uses ordinary least squares with broad sector fixed effects and HC1 heteroskedasticity-robust standard errors throughout. Models are estimated sequentially, beginning with a controls-only specification and then moving to a linear internationalization model, a quadratic full-sample benchmark, direct-effect models for TCI and DAI, and full specifications that incorporate moderation terms. In light of the strong concentration of firms at zero exports, the baseline quadratic specification is interpreted primarily as a descriptive full-sample benchmark rather than as a standalone structural test of the conventional inverted-U logic. This is important because the full-sample polynomial is necessarily influenced by the domestic-versus-exporter split, whereas the theoretical question developed in Sections 1–2 concerns how performance evolves across the continuous export-intensity range. The later specifications therefore focus on whether TCI and DAI exhibit distinct direct and contingent associations, and the interpretation of nonlinear structure is supplemented by extensive–intensive reasoning and support-aware diagnostics rather than inferred from the quadratic fit alone. Accordingly, the analysis does not treat the full-sample polynomial as sufficient evidence of a formally identified inverted-U in the observed data range.

$$\ln(LP) = \alpha + \beta_1 \cdot FSTS_c + \beta_2 \cdot FSTS_c^2 + \beta_3 \cdot TCI + \beta_4 \cdot DAI + \beta_5 \cdot (FSTS_c \times DAI) + \beta_6 \cdot (FSTS_c^2 \times DAI) + \gamma \cdot controls + \varepsilon,$$

The full model includes centered FSTS, squared centered FSTS, TCI, DAI, the interaction between FSTS and DAI, and the interaction between squared FSTS and DAI, in addition to the control set. A supplementary specification replaces the DAI interaction block with analogous TCI interaction terms in order to assess whether technological capability operates primarily as a moderator or as an intercept-shifting capability variable. Following the recommendations of Haans et al. (2016) for testing curvilinear relationships in strategy research, the study applies the Lind and Mehlum (2010) test for a U-shaped or inverted-U relationship to assess the quadratic shape formally. To

assess whether the DAI interaction block matters jointly, the study reports a joint F-test on the two DAI interaction terms and also interprets effect size using Cohen's f^2 (Aguinis et al. 2005; Cohen 1988).

4 Results

4.1 Descriptive statistics

Table 1 reports descriptive statistics and pairwise correlations for the analytic sample. Mean log labour productivity is 11.42 with a standard deviation of 1.18, while mean FSTS is 0.045 with a standard deviation of 0.144, confirming that most firms in the sample are domestically oriented. TCI and DAI are positively correlated at $r = 0.31$, which is consistent with the idea that technologically stronger firms are somewhat more digitally active, but the correlation is far from high enough to justify collapsing the two constructs into a single measure. Both TCI and DAI are positively correlated with labour productivity, and DAI also shows a modest positive correlation with export intensity.

Table 1. Descriptive statistics and pairwise correlations.

Panel A: Descriptive Statistics (N = 623)							
Variable	Mean	SD	Min	Max	p25	p50	p75
Ln(Labour productivity)	11.42	1.18	7.89	15.21	10.62	11.40	12.21
FSTS	0.045	0.144	0.000	1.000	0.000	0.000	0.000
FSTS ²	0.022	0.085	0.000	1.000	0.000	0.000	0.000
TCI (z)	0.000	1.000	-0.85	3.21	-0.85	-0.27	0.51
DAI (z)	0.000	1.000	-1.42	1.96	-0.81	0.18	0.94
Firm size (ln_empl)	3.21	1.42	0.00	8.85	2.20	3.18	4.25
Firm age	21.4	14.8	1	98	10	19	30
Foreign-owned (0/1)	0.119	0.324	0	1	0	0	0
Panel B: Pairwise Correlations							
Variable	1	2	3	4	5	6	7
1. Ln(Lab. prod.)	1.00						
2. FSTS	0.13***	1.00					
3. TCI (z)	0.21***	0.18***	1.00				
4. DAI (z)	0.16***	0.09*	0.31***	1.00			
5. Firm size	-0.04	0.21***	0.34***	0.27***	1.00		
6. Firm age	0.18***	0.06	0.07†	0.04	0.16***	1.00	
7. Foreign-owned	0.16***	0.27***	0.18***	0.09*	0.21***	-0.05	1.00

Notes: N = 623. TCI and DAI are z-standardized formative composites. FSTS is the share of annual sales accounted for by direct exports. Two-tailed significance levels are reported as follows: $p < .10$, $p < .05$, $p < .01$.

4.2 The I–P relationship: primarily monotonic with mild curvature

In the baseline quadratic specification (Model M2), the linear FSTS term is positive and statistically significant, whereas the squared term is negative and only marginally significant. The fitted curve therefore implies a turning point in the upper tail of the export-intensity distribution, near FSTS = 82% on the original scale, but that point is imprecisely located and falls in a sparsely populated region of the data. The 5,000-replication bootstrap recovers an inverted-U shape frequently (96.3% of replications), yet the corresponding 95% percentile confidence interval for the turning point is wide ([53%, 253%]), and the Lind–Mehlum test does not formally confirm a conventional inverted-U at conventional significance levels ($p = .303$). The most defensible interpretation is therefore not that the inverted-U is firmly established, but that the full-sample relationship is predominantly positive with mild quadratic curvature over the observed export-intensity range. In this sense, the quadratic fit is informative descriptively, while stronger claims about a structurally identified right-side decline remain beyond what the present data can support. Read this way, the evidence qualifies rather than overturns the conventional nonlinear literature, while keeping interpretation within the empirical support actually available in the Singapore sample.

4.3 TCI results

The direct-effect model for technological capability (Model M5) shows that TCI is positively associated with labour productivity ($\beta = 0.168$, $SE = 0.040$, $p < .001$). Model fit also improves relative to the quadratic baseline, with R^2 rising from 0.178 in Model M2 to 0.199 in Model M5. This pattern supports the view that technological capability raises the firm's productivity base rather than simply proxying for export intensity.

In the supplementary TCI-moderation specification (Model M3), the direct TCI coefficient remains positive and significant ($\beta = 0.188$, $p < .001$), but the interaction terms involving FSTS and squared FSTS are jointly insignificant. Because the absence of moderation cannot be inferred from non-significance alone, the evidence is better

read as supporting an intercept-dominant interpretation of the TCI association rather than as a definitive demonstration that curvature moderation is exactly zero. The manuscript therefore should the evidence is therefore more consistent with an intercept-dominant reading than with a clearly identified moderation channel of the internationalization–performance relationship. This is also the most coherent reading for hypothesis development, because it preserves the distinction between internal capability depth and export-contingent digital complementarity.

4.4 DAI results

In the direct-effect model for digital adoption (Model M6), DAI is positively associated with labour productivity ($\beta = 0.104$, $SE = 0.038$, $p = .007$). However, once TCI is included alongside DAI in Model M7, the DAI coefficient attenuates to $\beta = 0.077$ and remains marginal ($p = .048$), indicating partial overlap in the average-firm heterogeneity captured by the two constructs. This attenuation is substantively important because it suggests that DAI should not be interpreted as a large, universal productivity premium across all firms.

Table 2. Hierarchical OLS regression results — Singapore 2023.

DV: Ln(Labour Productivity). HC1 robust standard errors in parentheses.

Variable	M0Ctrl	M2Inv-U	M5+TCI	M6+DAI	M7T+D	M4DAI×	M8Full
FSTS		+2.652* **	+2.165* *	+2.322* **	+1.952* *	+2.768* **	+2.409* *
		(0.691)	(0.699)	(0.701)	(0.707)	(0.750)	(0.748)
FSTS²		-1.705†	-1.168	-1.389	-0.965	-2.959**	-2.543*
		(0.931)	(0.940)	(0.928)	(0.938)	(1.012)	(1.045)
TCI (z)			+0.168* **		+0.153* **		+0.153* **
			(0.040)		(0.041)		(0.041)
DAI (z)				+0.104* *	+0.077* *	+0.046	+0.019
				(0.038)	(0.038)	(0.045)	(0.045)
FSTS × DAI						-1.144	-1.167†
						(0.702)	(0.686)
FSTS² × DAI						+3.098* *	+3.119* *
						(1.088)	(1.124)
Firm size (ln)	-0.120**	- 0.124** *	- 0.175** *	- 0.135** *	- 0.179** *	- 0.125** *	- 0.168** *

Firm age	+0.017* **	+0.015* **	+0.017* **	+0.016* **	+0.017* **	+0.015* **	+0.016* **
Foreign-owned	+0.407* **	+0.307* **	+0.293* **	+0.307* **	+0.294* *	+0.298* **	+0.284* *
Sector FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Constant	+10.958 ***	+11.157 ***	+11.345 ***	+11.199 ***	+11.361 ***	+11.190 ***	+11.353 ***
N	623	623	623	617	617	617	617
R²	0.122	0.178	0.199	0.184	0.202	0.193	0.211
Adj. R²	0.115	0.168	0.189	0.174	0.190	0.180	0.196

Notes: The dependent variable is log labour productivity. HC1 robust standard errors are reported in parentheses. FSTS is mean-centered before squaring. All models include firm size, firm age, foreign ownership, and broad sector fixed effects. Models containing DAI use N = 617 because six firms have missing values on DAI-related variables.

Table 2 reports the main hierarchical regression results. The baseline quadratic specification shows a strongly positive linear FSTS term and a marginally negative squared term, indicating that the internationalization–performance relationship is better read as predominantly monotonic positive with mild quadratic curvature rather than as a formally established inverted-U. The direct-effect models further show that TCI is positively associated with labour productivity and that its role is substantively stronger and more stable than that of DAI as a universal average effect. Once DAI is introduced jointly with TCI, its direct coefficient attenuates, which suggests that part of the average DAI–productivity association overlaps with broader productivity-relevant firm heterogeneity already captured by TCI. The full model then shows that the most consequential DAI result is not a large unconditional premium, but a positive quadratic moderation pattern indicating that the relevance of digital adoption becomes more positive as export intensity rises.

The strongest evidence for DAI appears in the moderation specifications. In the full model (Model M8), the direct DAI term is small and not statistically significant ($\beta = 0.019$, $p = .705$), the linear interaction with FSTS is negative and marginal ($\beta = -1.177$, $p = .083$), and the quadratic interaction term is positive and statistically significant ($\beta = 3.118$, $SE = 1.117$, $p = .005$). Model M8 also produces the highest explanatory power among the main specifications, with $R^2 = 0.213$ and adjusted $R^2 = 0.199$. Read substantively, these estimates indicate that the productivity relevance of digital adoption becomes more positive at higher levels of export intensity, with the clearest signal concentrated in the high-export tail rather than distributed uniformly across the sample.

One clarification is important for interpretation. Because FSTS is mean-centered before squaring and the interaction terms are constructed from the centered measure, the coefficient on DAI in Model M8 is not numerically equivalent to the marginal effect of DAI at FSTS = 0 on the original scale. For that reason, the near-zero direct DAI coefficient in M8 should not be read as contradicting the small positive marginal effect reported for domestic firms in Table 4. The more relevant substantive pattern is that the DAI association is weak across much of the distribution and becomes more positive only in the high-export tail, where cross-border coordination demands are denser but empirical support is also thinner.

Table 4. Marginal effects of DAI across selected FSTS levels (from Model M8).

FSTS level	Marginal effect of DAI	SE	p-value	95% CI
FSTS = 0% (domestic)	+0.080	0.040	.045*	[+0.002, +0.158]
FSTS = 5%	+0.015	0.047	.752	[-0.077, +0.106]
FSTS = 10%	-0.035	0.069	.616	[-0.170, +0.101]
FSTS = 15%	-0.069	0.093	.459	[-0.250, +0.113]
FSTS = 20%	-0.087	0.113	.444	[-0.309, +0.135]
FSTS = 30%	-0.077	0.145	.598	[-0.361, +0.208]
FSTS = 50%	+0.131	0.186	.481	[-0.234, +0.496]
FSTS = 70%	+0.588	0.262	.025*	[+0.074, +1.102]
FSTS = 100%	+1.742	0.573	.002**	[+0.618, +2.865]

Notes: Marginal effects are computed from Model M8 for a one-standard-deviation increase in DAI. Standard errors are derived using the delta method. The estimates indicate that the productivity association of DAI is statistically weak across much of the observed export range but becomes positive and significant among high-intensity exporters.

Table 4 and Figure 2 translate the interaction estimates from Model M8 into substantively interpretable marginal effects across the export-intensity distribution. Across domestic, low-export, and much of the middle export range, the marginal effect of DAI is small and statistically indistinguishable from zero, which indicates that basic digital adoption does not generate a large universal labour-productivity premium across the full sample. By contrast, the marginal effect becomes positive and statistically significant among high-intensity exporters, reaching 0.588 at FSTS 70 and 1.742 at FSTS 100. This pattern supports the interpretation of DAI as a scale-enabling complement whose productivity relevance

emerges more clearly when firms face denser cross-border coordination and transaction demands.

In this setting, foundational digital adoption is better interpreted as a conditional scaling resource whose productivity relevance becomes more visible at higher export intensity, while remaining weak or statistically indistinct across much of the distribution.

Figure 2. Marginal effect of digital adoption (DAI) across export intensity, canonical M8 (N = 617). Solid line = marginal effect of a one-standard-deviation increase in DAI on $\ln(\text{labour productivity})$; shaded band = 95% CI computed via the delta method. The lower panels show every observation as a rug strip and the count of firms in each 10-percentage-point FSTS bin. The shaded grey region marks the thin-support area (FSTS > 70%, ~3.2% of firms): coefficient estimates in this region are consistent with a more positive DAI–productivity association at high export intensity but rest on sparse data.

*Figure 3. Predicted internationalization–performance curve. Predicted relationship between export intensity and labour productivity with 95% confidence bands from the canonical quadratic specification (M2). The implied turning point occurs near FSTS = 82% on the original scale, but its 95% percentile cluster-bootstrap confidence interval (5,000 replications) spans [53%, 253%] (median 80%, IQR [68%, 102%]); the inverted-U *shape* is recovered in 96.3% of bootstrap replications, but its precise location is only loosely identified. The shaded red vertical band marks the bootstrap CI for the turning point. The estimate should therefore be interpreted as descriptive of the data rather than as structurally identified evidence of an inverted-U.*

Figure 3 visualizes the baseline quadratic fit between export intensity and labour productivity. The fitted curve implies a turning point near FSTS 82%, but the point estimate is loosely identified — its 95% percentile bootstrap confidence interval spans [53%, 253%] — and lies in a sparsely populated upper tail of the sample. The Lind–Mehlum test does not formally confirm a conventional inverted-U at conventional significance levels. The appropriate interpretation is therefore not that the classic nonlinear literature is overturned, but that in this Singapore sample the right-side decline of the curve appears attenuated or shifted beyond the export range occupied by most firms in the data.

4.5 Robustness checks

The robustness analysis shows that the core inference about DAI moderation is broadly stable, although its statistical strength varies across measurement choices and sample restrictions. In the baseline full specification, the positive quadratic DAI interaction is statistically significant, and the same positive sign is preserved across all reported robustness models. This sign stability matters because it indicates that the central argument is not driven by a single operational definition.

When DAI is reduced to a thinner, website-only measure, the moderation result weakens, suggesting that the richer baseline index draws meaningful explanatory variation from the electronic-payment indicators as well as from digital presence. By contrast, when the sample excludes micro-firms or is restricted to SMEs, the positive quadratic moderation pattern remains visible and in some cases becomes stronger. The exporters-only subsample is less stable because the number of exporting firms is small and the right tail remains thin, so those estimates should be described as suggestive rather than definitive.

The effect sizes reported in the manuscript reinforce a cautious interpretation. The TCI direct effect is in the small-to-medium range, while the DAI moderation block is statistically detectable but substantively modest, which is typical for interaction effects in organizational research. Taken together, the strongest empirical claim of Section 4 is therefore not that digital adoption yields a large average productivity premium, but that its association with productivity becomes more positive as export intensity rises within the Singapore sample, with the clearest signal concentrated in the high-export tail.

Table 3. Robustness checks for primary findings (six specifications).

DV: Ln(Labour Productivity). HC1 robust standard errors. Each row reports a separate full-specification regression with controls.

Specification	N	TCI β_z	FSTS ² × DAI	Joint F (p)	Adj. R ²
Baseline (TCI_full + DAI_rich)	617	0.153***	3.119**	4.56 (.011)	0.196
R1: DAI_thin (website c22b only)	623	0.180***	1.552	4.01 (.019)	0.188
R2: TCI_thin (e6 + b8)	617	0.159***	2.930**	4.27 (.014)	0.199
R3: Excl micro-firms (<10 empl)	464	0.170***	3.521**	4.61 (.010)	0.219
R4: SMEs only (≤200 empl)	595	0.156***	3.505**	5.30 (.005)	0.199
R5: Exporters only (FSTS > 0)	84	0.130	2.821	6.32 (.003)	0.165

Notes: Each row reports a separate full-specification regression with controls. Joint F refers to the test that the two DAI interaction terms are jointly equal to zero. The positive sign of the quadratic DAI moderation term is preserved across all specifications, although statistical strength attenuates in more restrictive subsamples. DAI should be interpreted as a Tier 1–2 digital-adoption construct rather than as a broader measure of digitally integrated organizational capability.

Table 3 evaluates whether the core inference is sensitive to measurement choice and sample composition. Across all reported robustness specifications, the quadratic DAI moderation term retains a positive sign, which strengthens confidence that the main result is not driven by a single operational decision. At the same time, the weakening of statistical significance in the thinner website-only specification suggests that the richer DAI baseline draws meaningful explanatory variation from the electronic-payment indicators in addition to simple digital presence. The exporters-only subsample is less stable because the number of exporting firms is limited and the right tail of export intensity remains thin, so these estimates should be interpreted cautiously. Taken together, the robustness results support the argument that foundational digital adoption acts as a contingent scaling complement, while also reinforcing that the evidence is strongest when interpreted within the Tier 1–2 measurement boundary of the DAI construct.

5 Discussion

5.1 Theoretical implications

Three theoretical implications follow from these findings. First, the TCI result supports a capability-depth interpretation of firm performance in internationalizing firms. Technological capability is positively associated with labour productivity in a way that is more stable than any moderation pattern identified in the present design, which is consistent with the view that internal capability depth improves the productivity base from which firms engage international markets. This interpretation fits the absorptive-capacity and technological-capability traditions by emphasizing learning, innovation, and technology absorption as firm-internal sources of productivity heterogeneity rather than as clearly identified shifters of I–P curvature.

Second, the evidence qualifies rather than overturns the conventional nonlinear I–P literature. In the Singapore sample, the fitted quadratic displays mild curvature, but the right-side decline is not formally identified within the export-intensity range occupied by most firms, and the implied turning point lies in a sparsely populated upper tail. The appropriate theoretical reading is therefore not that this study establishes a general boundary condition for digitally mature economies, but that it provides within-context evidence from Singapore showing how the conventional I–P logic appears when most firms remain clustered at very low export intensity and the upper tail is thin. In that sense, the study sharpens interpretation of the nonlinear literature without claiming that a single-country cross-section can separate a context-specific mechanism from Singapore-specific institutional features.

Third, the DAI result suggests that foundational digital adoption is better understood as a conditional scaling resource than as a uniform firm-level productivity premium. Across much of the observed export-intensity distribution, the DAI association is weak or statistically indistinct, but it becomes more positive in the high-export tail, where firms face denser cross-border coordination and transaction demands. This pattern is consistent with the idea that Tier 1–2 digital adoption matters most when firms have sufficient international throughput to use digital interfaces and transaction-enabling systems intensively, while also underscoring that the evidence is concentrated in a thin-support region and should therefore be interpreted cautiously. The contribution here is thus not to establish a universal digitalization mechanism, but to clarify that foundational digital adoption and technological capability are analytically distinct and empirically associated with performance in different ways within this setting.

5.2 Managerial implications

For firms in Singapore and comparable high-digital-infrastructure contexts, the findings suggest that investments in foundational digital adoption are most strongly associated with productivity advantages when firms already operate at relatively high export intensity. In such cases, digital interfaces, payment systems, and related transaction-enabling tools appear to function as scaling mechanisms that help firms coordinate a larger volume of cross-border activity more efficiently. For firms already deeply engaged in export markets, the managerial implication is therefore strategic rather than symbolic: foundational digital systems appear to matter most when coordination demands across customers, suppliers, and foreign-market transactions become dense enough for those systems to be used intensively.

For firms concentrated in domestic markets or at low export intensity, digital adoption may still be worthwhile, but the productivity differentials appear smaller and less distinctive in the present data. In this setting, basic digital functionality is already relatively widespread, so adopting such tools may not generate a large standalone labour-productivity premium for all firms equally. For firms in the intermediate export-intensity range, the results suggest caution in expecting immediate productivity gains from digital adoption alone; these investments are likely to be more valuable when aligned with broader objectives such as customer integration, supplier coordination, export readiness, and future scaling.

More broadly, the findings imply that managers should avoid treating technological capability and digital adoption as interchangeable investment categories. Investments in technological capability appear to support a broader productivity base, whereas investments in foundational digital adoption become more relevant when firms face the

coordination intensity associated with deeper internationalization. This suggests that capability-building and digitalization strategies should be sequenced and matched to the firm's actual stage of export expansion rather than pursued as a single undifferentiated digital-capability agenda.

6 Conclusion

This study revisits the internationalization–performance relationship by distinguishing technological capability from foundational digital adoption and examining how each is associated with labour productivity among firms in Singapore. Using World Bank Enterprise Survey microdata for Singapore 2023, the analysis shows that technological capability is positively associated with productivity, while digital adoption exhibits a more conditional association that becomes more positive only at higher levels of export intensity. The findings therefore support a distinction between firm-internal capability depth and foundational digitally enabled transaction capacity rather than treating both domains as interchangeable aspects of a single digital-capability construct.

The study also qualifies the interpretation of the nonlinear I–P literature in this setting. Within the observed export-intensity range, the baseline pattern is better characterized as predominantly positive with mild quadratic curvature than as a formally identified inverted-U, because the implied turning point lies in a sparsely populated upper tail and is imprecisely located. Read in this way, the evidence does not overturn the established I–P literature, nor does it establish a general boundary condition for digitally mature economies; instead, it provides within-context evidence from Singapore on how the conventional nonlinear logic appears in a highly digitalized institutional environment where most firms remain concentrated at low export intensity.

More broadly, the study contributes to international business research by sharpening construct interpretation and by showing that technological capability and foundational digital adoption are associated with performance through different empirical patterns. Technological capability shows the more stable positive association with productivity, whereas foundational digital adoption is better interpreted as a conditional scaling resource whose relevance becomes more visible only where cross-border coordination demands are relatively intense. These conclusions are deliberately bounded to the present design and setting, and they point toward the need for comparative and longitudinal research before broader cross-setting claims about how digitalization shapes the I–P pattern can be sustained.

7 Limitations and Future Research

Three limitations warrant explicit caution in interpreting the findings. First, the analysis is a single-country cross-section, and the identification strategy is therefore associational rather than causal. The observed positive associations among TCI, DAI, internationalization, and labour productivity admit at least two non-causal interpretations consistent with the data. The first is productivity-driven self-selection into digital adoption: more productive firms may have the financial slack and managerial bandwidth to install electronic-payment systems and digital interfaces, so the observed DAI–productivity association may reflect this selection channel rather than a productivity-enhancing effect of digital adoption per se. The second is productivity-driven self-selection into international markets, in which only firms above a productivity threshold profitably overcome the fixed costs of exporting; the observed FSTS–DAI interaction could therefore reflect productivity-induced co-movement of export intensity and digital-system utilization rather than a digital-system-induced productivity gain. Standard *ex post* diagnostics such as non-significant inverse Mills ratios from Heckman-style models do not constitute affirmative evidence of unbiasedness in the absence of a valid exclusion restriction (Wolfolds & Siegel 2019). The disciplined response is therefore to read the present results as extreme-case, within-context evidence from Singapore: the estimated patterns describe how productivity, technological capability, and digital adoption co-move with export intensity in a digitally mature economy, while leaving causal identification of any specific mechanism to designs that cannot be implemented in the present study.

Second, the sample contains a thin right tail of high-intensity exporters. Most firms report zero exports, the 75th percentile of FSTS remains at zero, and only a small fraction of firms occupy the high-export range in which the fitted turning point and the strongest DAI moderation signals appear. Two consequences follow. First, the implied turning point in the quadratic specification should be interpreted as an indicative descriptive feature rather than as a structurally identified inflection, because it lies in a sparsely populated region and its bootstrap confidence interval is wide ([53%, 253%]) even though an inverted-U shape is frequently recovered in resamples (96.3% of replications). Second, the DAI moderation pattern is more appropriately treated as suggestive evidence concentrated in the thin upper tail: it remains visible across leave-one-out, trimmed-tail, and indicator-sensitivity diagnostics, but precision is necessarily lower when attention shifts to the small exporter subsample ($N =$

84) and the sparsely populated high-intensity range. The appropriate caution therefore rests on the limited empirical support in the upper tail and the resulting imprecision of tail-based inference, not on differences in adjusted R^2 across samples of very different size and composition.

Third, the estimated moderation effect is statistically detectable but substantively modest, and the present results should be read as an initial firm-level test of a conditional digital-adoption argument in one digitally mature setting rather than as definitive evidence of a generalized pattern across digitally mature economies. The DAI indicators available in WBES 2023 capture Tier 1-2 digital adoption — digital presence and digital transaction usage — rather than Tier 3-4 digital capability or dynamic capability; indicator-sensitivity analysis shows that the moderation pattern depends on the foundational digital-infrastructure indicators (firm website and electronic-payment-to-suppliers usage) and weakens when these specific indicators are dropped. Although equivalence-testing approaches (Lakens et al. 2018) could in principle quantify the support for null moderation in subsamples, the present sample size limits their power, and the more cautious reading is that absence of moderation cannot be inferred from non-significance alone. Whether the scale-enabling-complement pattern persists, attenuates, or is amplified under richer measures of digitally integrated organizational capabilities remains an open empirical question. Future research should therefore examine whether the same pattern appears in other digitally mature economies, such as Hong Kong, the Republic of Korea, and Taiwan, and under purpose-designed instruments that capture deeper digital dynamic capabilities. Future research should also extend this measurement architecture by linking WBES-type microdata, where confidentiality arrangements permit, to firm-level databases or by using purpose-built survey instruments that better capture process-level digital integration and higher-order capability depth. More broadly, future work should examine whether the scale-enabling-complement pattern operates through identifiable mechanisms such as supplier-side digital integration, customer-facing digital channels, or internal ERP integration. Causal identification, in particular, would benefit from firm-level panel data, successive enterprise-survey waves, national statistical-

office registers, or proprietary databases that permit firm fixed-effects estimation. Where suitable instruments are available, such as regional digital-infrastructure rollouts or plausibly exogenous trade-policy shocks, instrumental-variable or difference-in-differences designs would further upgrade the present associational evidence to causal identification.

Data Availability Statement

The data analyzed in this study are from the World Bank Enterprise Survey (WBES) Singapore 2023 wave, publicly available at <https://www.enterprisesurveys.org>. Analysis scripts to replicate the results are available from the corresponding author on reasonable request.

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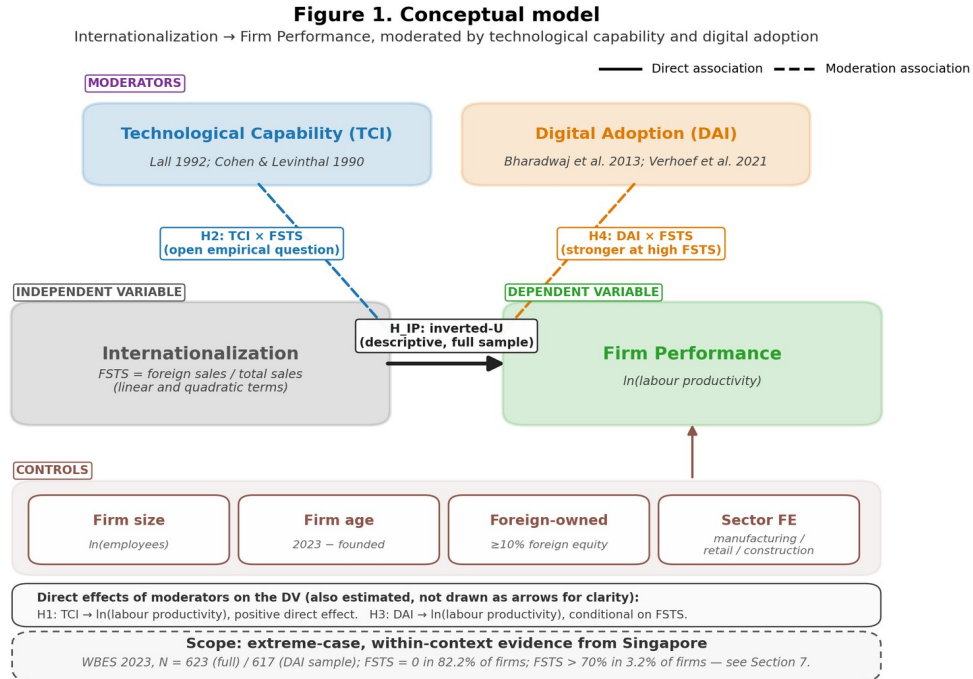


Figure 1. Conceptual model. Internationalization (FSTS, FSTS²) is the independent variable; firm performance, measured as ln(labour productivity), is the dependent variable. Technological capability (TCI) and digital adoption (DAI) are moderators acting on the internationalization–performance path (H2 and H4). The diagram also lists the direct effects of TCI and DAI on the dependent variable (H1 and H3), which are estimated in the empirical model but not drawn as crossing arrows for visual clarity. Firm size, age, foreign ownership, and broad-sector fixed effects enter as controls. Solid arrows denote direct associations; dashed arrows denote moderation associations. The setting is Singapore as an within-context, analytically informative case of a digitally advanced economy (WBES 2023, N = 623 / 617).

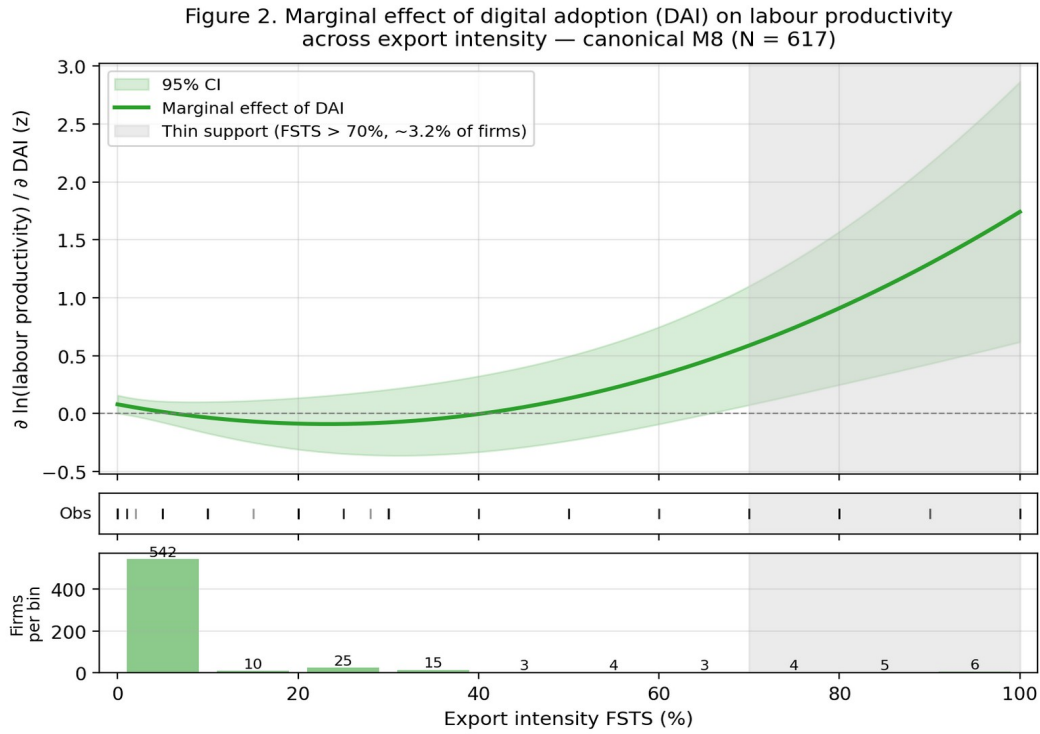


Figure 2. Marginal effect of digital adoption (DAI) across export intensity, canonical M8 (N = 617). Solid line = marginal effect of a one-standard-deviation increase in DAI on $\ln(\text{labour productivity})$; shaded band = 95% CI computed via the delta method. The lower panels show every observation as a rug strip and the count of firms in each 10-percentage-point FSTS bin. The shaded grey region marks the thin-support area (FSTS > 70%, ~3.2% of firms): coefficient estimates in this region are consistent with a more positive DAI–productivity association at high export intensity but rest on sparse data.

Figure 3. Predicted internationalization–performance curve (canonical M2)
Shape robust; turning-point location loosely identified

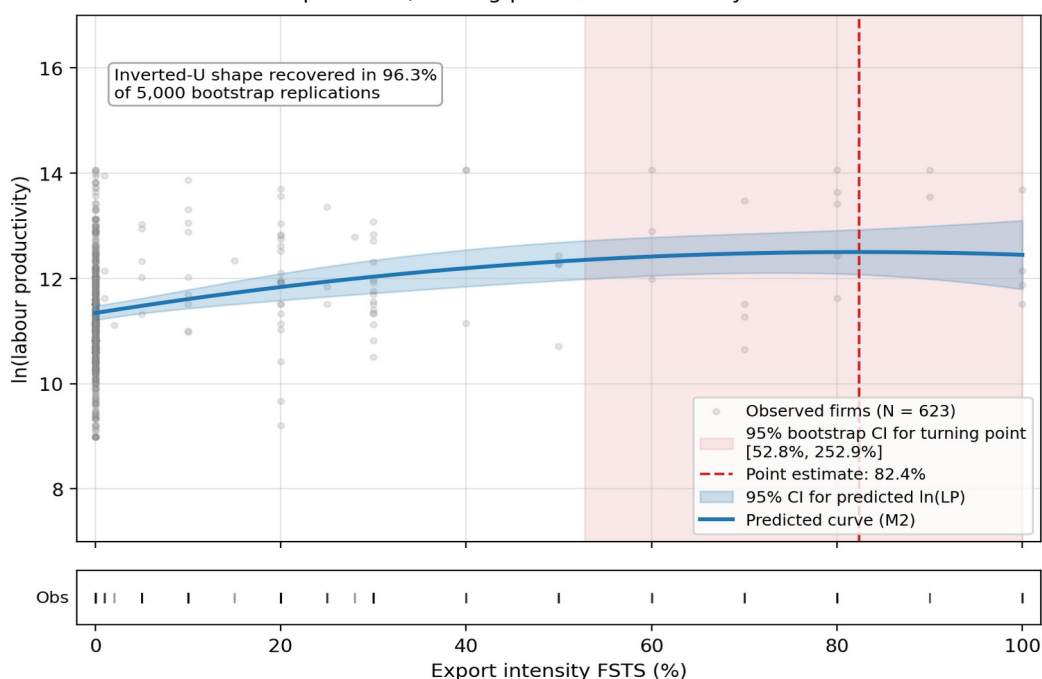


Figure 3. Predicted internationalization–performance curve. Predicted relationship between export intensity and labour productivity with 95% confidence bands from the canonical quadratic specification (M2). The implied turning point occurs near $FSTS = 82\%$ on the original scale, but its 95% percentile cluster-bootstrap confidence interval (5,000 replications) spans $[53\%, 253\%]$ (median 80%, IQR $[68\%, 102\%]$); the inverted-U *shape* is recovered in 96.3% of bootstrap replications, but its precise location is only loosely identified. The shaded red vertical band marks the bootstrap CI for the turning point. The estimate should therefore be interpreted as descriptive of the data rather than as structurally identified evidence of an inverted-U.